



Guide to tariff classification for Canadian imports: The general rules for the interpretation of the Harmonized System

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As a member of the importing community, you must correctly classify goods imported into Canada. Classification depends on how you present the goods at the time of importation.

This section explains what the general rules for the interpretation of the Harmonized System (HS) are for and how to apply them correctly when classifying goods.

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The purpose of the rules

It's not always clear which heading a good is classified under. To make sure you classify a good under only 1 heading and subheading, use the 6 rules. They are a systematic and consistent approach to classification. They establish the legal classification principles that apply throughout the HS.

Apply the rules each time you classify a good under the HS in this order:

1. heading
2. subheading
3. tariff item

Repeat for each level of classification.

Notes:

- Rules 1 to 4 provide special direction on how to classify certain containers and packing materials found in rule 5
- Rule 6 requires the rules to be repeated at the subheading level for each level of classification
- The rules create the classification principles that apply throughout the HS
- The rules are to be used each time a good is classified under the HS

General Interpretive Rule 1

The titles of Sections, Chapters and sub-Chapters are provided for ease of reference only; for legal purposes, classification shall be determined according to the terms of the headings and any relative Section or Chapter Notes and, provided such headings or Notes do not otherwise require, according to the following provisions.

When classifying goods, examine this rule first. If classification is not covered by the provisions of rule 1, then apply rule 2, and so on.

What this rule means

The titles of sections and chapters are for ease of reference only. This means they are only there as a guide to where a good may be classified in the Canadian Customs Tariff.

Refer to the text of the headings and any applicable section or chapter notes to find where a good should be classified. Don't rely on the titles of a section or chapter to classify goods.

In some cases, like the classification of a revolver, it may look like the titles of sections or chapters are self-explanatory. However, a legal note could exclude the good and direct you to a classification in another area of the Canadian Customs Tariff.

Example

Section XV covers base metals and articles of base metals.

Since revolvers are articles of base metals, at first it may look like revolvers fit under section XV. However, there are many goods of base metals that are classified in other sections.

In the case of revolvers, they fall under section XIX for arms and ammunition.

General Interpretive Rule 2

- a. Any reference in a heading to an article shall be taken to include a reference to that article incomplete or unfinished, provided that, as presented, the incomplete or unfinished article has the essential character of the complete or finished article. It shall also be taken to include a reference to that article complete or finished (or falling to be classified as complete or finished by virtue of this Rule), presented unassembled or disassembled.
- b. Any reference in a heading to a material or substance shall be taken to include a reference to mixtures or combinations of that material or substance with other materials or substances. Any reference to goods of a given material or substance shall be taken to include a reference to goods consisting wholly or partly of such material or substance. The classification of goods consisting of more than one material or substance shall be according to the principles of Rule 3.

Rule 2(a): Incomplete or unfinished articles

Rule 2(a) lets you classify certain articles as if they were complete or finished even when they are not at the time of importation.

They can be:

- incomplete or unfinished articles
- unassembled or disassembled articles

What this rule means

The terms "incomplete" and "unfinished" are interchangeable.

To classify an incomplete/unfinished article as the complete good, it must be clearly identifiable as the complete/finished good.

A bicycle without the saddle (seat) or an alarm clock without its hands are examples of this. These articles have the essential character of the complete/finished good, even though they are not.

Blanks

Rule 2(a) may also apply to goods known as "blanks."

These goods are **not** ready for use, but they:

- possess the approximate shape or outline of a finished good
- can only be used to make the finished good and not for any other use

These blanks can also be classified as the complete article. However, if a blank fits the description of a good mentioned in a heading, you must classify it under that heading.

Example of a blank: a bottle preform of plastics with 1 closed end and the other end opened and threaded for a screw type top. The blank is heated and blown to the desired shape and size, forming a plastic bottle.

What is not considered a blank

Semi-manufactured goods are not blanks. They don't have the essential shape of the finished good (bars, discs, tubes, etc.)

These goods get classified under their own heading because they could be made into many different things.

Example of a good not classified as a blank: a sharp-edged blank for a cork or stopper. This good can't be classified under heading 45.03 as a finished cork and stopper. It should be classified under heading 45.02, which specifically provides for this type of blank.

Rule 2(a): Unassembled or disassembled articles

"Unassembled" refers to all the components of a good that are not put together at the time of importation.

Example: the hardware and shelving for a wooden bookcase all packaged in a box. This gets classified as a wooden bookcase and not as its individual component parts.

"Disassembled" refers to a finished good taken apart for various reasons, such as ease of transport.

Example: a wooden dresser had its mirror and frame removed to protect them during shipment. The disassembled articles get classified together as a wooden dresser.

Assembly

To be covered under this rule, articles presented as unassembled or disassembled must only need "assembly" to complete the good. This can be done either via fixing devices (screws, nuts, bolts, etc.) or by riveting, welding, etc.

The assembly process can be complex (like welding), but the components can't be subjected to any further working to reach the finished state.

Assembly can't exceed a certain number of additional components. For those that go over the number required to complete the good, classify them on their own.

Example: 2 bar stools require 2 seats and 8 legs by design. A shipment of 2 bar stools consisting of 2 seats and 10 legs means the extra 2 legs must be classified separately.

Rule 2(b): Mixtures and combination of materials or substances

Rule 2(b) covers goods composed of a mixture of materials or substances that you can't classify by applying rule 1 or rule 2(a).

The first part of rule 2(b)

Headings for a particular material or substance can include having them mixed or combined with another material or substance not mentioned in the heading.

Example: heading 10.03 covers barley and could include a mixture of barley and oats. Similarly, heading 10.04 that covers oats could include a mixture of oats and barley.

You can use this part of rule 2 to classify such combinations of goods, as long as no other provision applies.

Rule 2(b) doesn't apply when there is a provision in the Canadian Customs Tariff that specifically covers certain mixtures or combinations.

Example: heading 33.04, in part, covers beauty or make-up preparations and preparations for the care of the skin.

The second part of rule 2(b)

Goods made up of a certain material or substance in a heading may include a reference to goods consisting wholly or partly of that material or substance.

Unless written otherwise, the goods don't have to be made solely of the material or substance stated in the heading's text.

Example:

A cutting board is made up of wood with a small portion of the surface area made up of stone.

According to rule 2(b), even though the cutting board is only partly made of the materials described in 2 headings, you can consider using:

- heading 44.19 for "Tableware and kitchenware, of wood"
or
- heading 68.10 for "Articles of cement, of concrete or of artificial stone, whether or not reinforced"

As the cutting surface material is made up of wood, it does not have the character of a stone cutting board and doesn't meet the terms of heading 68.10 to be classified as a stone cutting board.

By applying rule 2(b), heading 44.19 can be expanded to include the cutting board, even though it is partly made of stone. Classify such goods using this part of rule 2 as long as no other provision applies.

Applying rule 2 (b), in many cases, may result in 2 or more headings where a good may be classified. In those cases, as mentioned in the last sentence of rule 2(b), goods with more than 1 material or substance are to be classified by the principles of rule 3.

If a good appears to be classifiable under 2 or more headings, you must turn to rule 3 as a way of breaking the tie.

General Interpretive Rule 3

When by application of Rule 2(b) or for any other reason, goods are, *prima facie*, classifiable under 2 or more headings, classification shall be effected as follows:

- a. The heading which provides the most specific description shall be preferred to headings providing a more general description.
However, when 2 or more headings each refer to part only of the materials or substances contained in mixed or composite goods or to part only of the items in a set put up for retail sale, those headings are to be regarded as equally specific in relation to those goods, even if one of them gives a more complete or precise description of the goods.
- b. Mixtures, composite goods consisting of different materials or made up of different components, and goods put up in sets for retail sale, which cannot be classified by reference to Rule 3(a), shall be classified as if they consisted of the material or component

which gives them their essential character, insofar as this criterion is applicable.

- c. When goods cannot be classified by reference to Rule 3(a) or 3(b), they shall be classified under the heading which occurs last in numerical order among those which equally merit consideration.

Rule 3(a): Most specific description

Rule 3(a) sets out the principle of specific description. This rule tells you to choose the heading with the most specific description of the good (like its name) instead of a heading with a more general description (like a class of goods).

Example: an electric shaver

There are 2 headings that provide a reasonable description of the good.

Heading 85.09: Electro-mechanical domestic appliances, with self-contained electric motor, other than vacuum cleaners of heading 85.08

Heading 85.10: Shavers, hair clippers and hair-removing appliances, with self-contained electric motor

By applying rule 3(a), electric shavers get classified under heading 85.10. This heading has a more specific description because it names the good rather than describing the class of goods it belongs to.

If the text of 1 heading provides a more accurate and complete description, classify the goods under that heading.

Example: a textile carpet for use in a motor vehicle

Heading 57.03: Carpets and other textile floor coverings, tufted, whether or not made up

Heading 87.08: Parts and accessories of motor vehicles

In this example, heading 57.03 describes the goods more specifically.

Under rule 3(a), if 2 or more headings refer to only part of the materials or substances of the goods, it means those headings are considered to be equally specific.

Example: a conveyor belt with plastics on 1 side and unhardened vulcanized rubber on the other side

It may be unclear whether to classify it under heading 39.26 or heading 40.10.

Heading 39.26: Other articles of plastics and articles of other materials of headings 39.01 to 39.14

Heading 40.10: Conveyor or transmission belts or belting, of vulcanized rubber

According to rule 3(a), the 2 headings are equally specific. Both headings refer to only part of the belt's materials, even though heading 40.10 provides a more precise description.

Since neither heading is more specific than the other, you can't classify this good by applying rule 3(a). Rule 3(b) will have to be considered to determine whether the rule applies.

Rule 3(b): Essential character

The factor which determines the "essential character" for a good will vary from case to case. It may, for example, be determined by the material or the component's:

- nature
- weight
- value
- quantity
- bulk
- or
- by the role or function relative to the others

This rule only relates to the following:

- Mixtures
- Composite goods consisting of different materials
- Composite goods consisting of different components
- Goods put up in sets for retail sale

The Federal Court of Appeal (2004 FCA 346) stated that to be "essential," a characteristic must pertain to the essence of something. In other words, it must be fundamental. The "essential character" is the distinguishing characteristic or attribute, which is the central reason for the existence of that good.

To determine this, you need to critically examine the good.

Mixtures

For mixtures, such as a bag of barley and oats, you could determine the essential character by value if either cereal were greater in value. If not, you might use criteria such as weight (kilograms) or volume (litres) to determine essential character.

In some instances, weight or volume in mixtures may indicate functionality. For example, road salt mixed with some sand to add traction is considered salt. While sand mixed with some salt to soften ice is considered sand.

Essential character of composite goods

Composite goods are articles made of different materials or components.

They include:

- goods with components attached to each other to form a practically inseparable whole
- goods with separable components, provided those components meet all of the following criteria:
 - Adapted to one another
 - Mutually complementary

- Together form a practically inseparable whole that normally would not be for sale in separate parts

Example: a space heater with a decorative LED flickering lamp designed specifically for the space heater

The space heater is the central reason for the existence of that good. The lamp performs a complementary function. Together, they form a practically inseparable whole. And would not normally be for sale as separate component parts for use on their own.

Goods put up in sets for retail sale

In some situations, it may be difficult to determine whether a group of items should be treated as a "set" for the purposes of rule 3(b). Classifying a group of items as a set eliminates the need to classify the goods separately.

To meet the definition of "goods put up in sets for retail sale," they must meet all the following criteria:

1. Consist of at least 2 different goods, classifiable under different headings
 - a. For example, 6 sterling silver forks is not a set within the meaning of this rule as they are all classified under the same heading
2. Consist of products or articles put up together to meet a particular need or carry out a specific activity
3. Be suitable for sale directly to users without repacking

All of the goods in the set must be related in such a way that they are clearly intended to be used together or in conjunction with one another. They must serve a distinct purpose or function in order to achieve a certain result.

To classify a set, determine the component that gives the set its essential character. Consider the purpose of the set. In the following example, the purpose is to cut hair.

Example:

A hairdressing set consists of the following items:

- a pair of electric hair clippers (heading 85.10)
- a comb (heading 96.15)
- a pair of scissors (heading 82.13)
- a brush (heading 96.03)
- a towel of textile material (heading 63.02)
- put up in a leather case (heading 42.02)

All of these items are classified under several different headings. Cutting hair is a specific activity achieving a certain result. All items are packaged together for sale to the consumer.

The hairdressing items can be considered a set put up for retail sale because they met all 3 criteria.

The 2 tools in the set designed for cutting hair are the electric hair clippers and the scissors. The scissors, while designed for cutting hair, could also be used to cut a variety of things. The hair clippers, however, can only be used for that purpose.

You would also determine that the clippers account for the majority of the cost/value of the set. So, by applying rule 3(b), you would classify the set under heading 85.10, which is for electric hair clippers.

Reduce the number of headings to choose from by disregarding items in a set with a secondary or supporting role. Doing this will make classification easier.

There are times when you can't determine the essential character of a good or of a set of goods put up for retail sale. In such cases, use rule 3(c).

Rule 3(c): Last in numerical order

Use rule 3(c) to classify goods when rule 3(a) or rule 3(b) don't apply.

When more than 1 heading merits equal consideration for classifying a good, rule 3(c) states that you should classify them under the heading that occurs last in numerical order.

Example:

A pillow is made up of a 100 percent polyester plush covering and then stuffed with 100 percent polyester filling, shaped to the form of a miniature model of a horse.

Possible headings to classify the pillow are:

- Heading 94.04: Articles of bedding and other similar furnishings
- Heading 95.03: Stuffed toys representing animals

What to consider:

- The good has the characteristics of a pillow or a cushion
- It has a filling density and soft fuzzy covering, ideal for children to hold when sitting, resting or sleeping
- It also has the characteristics of a toy
- The bright colouring and cuddly feel are particularly attractive to children who often hold them during a car ride or when watching television, providing amusement

The article has the characteristics and uses common to both a pillow and a toy. In this case, the essential character can't be determined. So, the article gets classified as a stuffed toy under heading 95.03, the heading that occurs last in numerical order.

General Interpretive Rule 4

Goods which cannot be classified in accordance with the above Rules shall be classified under the heading appropriate to the goods to which they are most akin.

This rule is for goods that have no specific or generic provisions found in the Canadian Customs Tariff.

When using rule 4 to classify goods, compare it with similar goods. To determine this consider the description, character, or purpose of the good.

Many headings throughout the Canadian Customs Tariff include the text "not elsewhere specified or included," or "Other." The other category is followed by a general class of goods (for example, Other articles of wood).

Because there are many of these "Other" headings throughout the HS, it is rare that you will not be able to classify a good by applying rules 1 to 3, greatly reducing the chance of ever having to use rule 4. Only use rule 4 for goods that are not covered in any other heading of a chapter.

Example: Industrial fog generators.

Chapter 84 covers machinery and mechanical appliances.

Heading 84.79 provides for machines and mechanical appliances having individual functions, not specified or included elsewhere in this chapter.

The industrial fog generator has 1 function that is not described in any other heading listed in Chapter 84. However, heading 84.79 applies to fog generators. If this heading didn't apply, there would not be a heading for this good and this is when you would consider using rule 4 to classify the good.

General Interpretive Rule 5

In addition to the foregoing provisions, the following Rules shall apply in respect of the goods referred to therein:

- a. Camera cases, musical instrument cases, gun cases, drawing instrument cases, necklace cases and similar containers, specially shaped or fitted to contain a specific article or set of articles, suitable for long-term use and presented with the articles for which

they are intended, shall be classified with such articles when of a kind normally sold therewith. This Rule does not, however, apply to containers which give the whole its essential character;

- b. Subject to the provisions of Rule 5(a) above, packing materials and packing containers presented with the goods therein shall be classified with the goods if they are of a kind normally used for packing such goods. However, this provision is not binding when such packing materials or packing containers are clearly suitable for repetitive use.

Rule 5 outlines the procedures for classifying certain containers and packing materials.

This rule has 2 parts:

- Rule 5(a) covers specialized cases and similar containers for goods they are designed for
- Rule 5(b) covers packing containers and packing materials.

This rule is in addition to and works alongside rules 1 to 4.

Rule 5(a): Cases, boxes and similar containers

If specific criteria are met, rule 5(a) says that you can classify certain cases and similar containers with the articles they are designed for when importing goods. This facilitates trade because you don't need to classify them separately.

To classify cases and similar containers as if they were the good they are meant to protect, they must meet the following criteria:

1. Be imported with a particular good or set of goods that it is specifically shaped or fitted to contain whether or not the articles are packed separately for convenience of transport
2. Be durable enough to protect the good and suitable for long term use

3. Be of a kind normally sold with such goods
and
4. Not give the whole its essential character

Examples of cases presented with their articles are electric shaver cases and binocular cases. Electric shavers are classified under heading 85.10 and binoculars are classified under heading 90.05, along with their cases.

When these cases are imported separately, they are usually classified under heading 42.02, which covers specialized cases of this kind.

Exception to this rule: Essential character

Rule 5(a) doesn't apply to containers that give the whole its essential character, even if they are normally sold with their contents.

Examples:

- A gold cigarette case fitted to contain cigarettes and sold with cigarettes
- A gold plated lipstick case decorated with semi-precious stones containing lipstick

The gold containers for both these examples give the whole its essential character. They are suitable for long term use and are of much greater value.

Classify these containers, along with their contents, as "composite goods." Refer to the provisions of rule 3(b).

Rule 5(b): Packing materials and packing containers

The following are all classified under the heading with the article that requires the packing:

- Outer packing materials, such as external packaging for retail sale
- Materials used to pack goods to protect them from damage
- Packing containers used for shipping

Examples:

- External packaging for retail sale (that is, polybags for clothing)
- Shrink-wrap plastic used to ship various goods
- Cardboard shirt collar sections
- Form fitting protective foam for glassware

This facilitates trade because you don't need to classify the containers and packing materials separately.

Exception to this rule: Suitable for repetitive use

Rule 5(b), doesn't apply if the packing materials or packing containers are suitable for repetitive use. This means that the container was designed specifically to be re-used for the same purpose as originally intended.

Examples:

- shipping containers used to load goods on and off a vessel
- refillable steel drums for liquefied natural gas

Both of these goods would be suitable for repetitive use.

There are also containers and packing materials that are not designed for repetitive use. But they may be re-used for other purposes than originally intended. Classify them with the goods they contain at the time of importation.

Example: peanut butter jars. You would classify the jar with the peanut butter at the time of importation even though the jar can be repurposed for something else, like holding loose change.

General Interpretive Rule 6

For legal purposes, the classification of goods in the subheadings of a heading shall be determined according to the terms of those subheadings and any related Subheading Notes and, *mutatis mutandis*, to the above Rules, on the understanding that only subheadings at the

same level are comparable. For the purpose of this rule the relative Section and Chapter Notes also apply, unless the context otherwise requires.

This is the last international rule for the classification of goods in the HS.

The first 5 rules apply at the heading level. Rule 6 relates to classification at the subheading level.

To apply this rule:

1. classify goods under the right heading before classifying under the right subheading
2. apply rules 1 to 5 when classifying goods at the subheading level as you would do at the heading level
3. only compare subheadings at the same level (Example: compare the text of a 1-dash subheading **only** with another 1-dash subheading under the same heading)
4. choose the 1-dash subheading that applies before considering the texts of the 2-dash subheadings
5. apply the section and chapter notes to classify at the subheading level
6. unless there is an exception and the context otherwise requires (Example, a legal note supersedes it)

Example: Let us examine the expression "platinum" in Chapter 71.

Chapter 71 Note 4(B) states: "The expression "platinum" means platinum, iridium, osmium, palladium, rhodium and ruthenium".

However, subheading Note 2 to Chapter 71 states: "Notwithstanding the provisions of Chapter Note 4(B), for the purpose of subheadings 7110.11 and 7110.19, the expression "platinum" does not include iridium, osmium, palladium, rhodium or ruthenium."

Chapter 71 Note 4(B) tells us to classify metals like iridium, osmium, palladium, rhodium and ruthenium as platinum. Also classify powdered iridium as platinum, even though it has no heading.

For subheadings 7110.11 and 7110.19, platinum doesn't include iridium, osmium, palladium, rhodium or ruthenium.

This is an example where the context otherwise requires when you apply rule 6 and begin classifying goods at the subheading level. There is an exception to Chapter Note 4(b) for the subheadings because of note 2 in Chapter 71. So, note 4(b) doesn't apply to subheadings 7110.11 and 7110.19.

Related link

[Chapter 71](#), Chapter Note 4(b) and subheading note 2

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